

## Western Carriers (India) Ltd.

### Company Overview:

**Western Carriers (India) Ltd (WCIL)** is the largest private multi-modal rail focused, 4PL (Single point of contact for supply chain management) asset light logistics company in India as of FY23. The company operates an asset-light business model to provide differentiated 3PL (third party logistics) and 4PL solutions to its customers. The company endeavors to address complexities (in terms of scale of operations and logistics requirements) by creating customized, one-stop/single-window, end-to-end, and integrated logistics solutions for customers which involve a variety of value-added services across the supply chain which the company believes is a key business differentiator.

### Key Highlights:

**1. Expertise in delivering customized end-to-end services:** The company is one of the few players in the Indian Logistics Industry with the capability to deliver cost-efficient, time bound and customized services and solutions. These services include large container movement, logistics, and long-haul deliveries, vendor coordination across the supply chain along with value-added services such as product packaging, cargo handling, customs clearance, pre-shipment inspection, containerization, in-plant logistics, just in time inventory management and warehouse planning etc.

**2. Comprehensive & integrated service offerings:** WCIL's operations are B2B focused and provide integrated and seamless connectivity for the movement of goods from one mode of transport to another thus facilitating last mile connectivity to its customers at reduced transit time and lower cost. The presence of WCIL across the entire spectrum of the logistics value chain enables it to combine rail, road, river transportation, air, and ocean freight services irrespective of size and scale.

**3. Strong customer relationships with a diverse sectoral presence:** WCIL has served a diverse base of 1,647 clients as of FY24 and has long-standing relationships with customers across varied sectors such as metals, FMCG, pharmaceuticals, chemicals, engineering, oil & gas, and retail. The company's client base includes marquee firms such as Tata Steel, Hindalco, Hindustan Unilever, Cipla, Vedanta, and Jindal Stainless among others.

**4. Strategically positioned to capitalize on industry trends:** The company believes that given its execution capabilities, in a market with inherent entry barriers, gives an advantageous position to benefit from favorable trends in the Indian Logistics Industry. The company expects its rail-focused multi-modal logistics business will enable it to capitalize on the growth of the container rail multi-modal market. According to the 1Lattice Report, the multi-modal (rail-road) market in India was around Rs 1,714 bn in FY24 and is expected to grow to Rs 4,667 bn by Fiscal 2029, thus growing at a CAGR of 22%.

**Valuation:** The company is valued at FY24 P/E multiple of 20.9x/21.8x based on the lower and upper price band respectively on the post-issue capital. The company is amongst the largest 4PL asset light logistic companies in India and is one of the few players in India with the capability to deliver cost-efficient, time-bound, customized services and solutions. Between FY22-FY24, WCIL's Revenue/EBITDA/PAT grew at a CAGR of 7.1%/18.5%/14.6% to Rs 1,685.8 cr/ Rs 146.1 cr/ Rs 80.3 cr respectively. Post repayment of debt from the proceeds of the issue the company is also likely to save on finance costs. The company is also set to capitalize on industry growth trends driven by healthy demand for exports and imports.

The issue appears to be fairly valued when compared with close peers on most valuation and financial matrices. We recommend subscribing to the issue for a long-term investment horizon

| Issue Details                 |                                              |
|-------------------------------|----------------------------------------------|
| Date of Opening               | 13 <sup>th</sup> September 2024              |
| Date of Closing               | 18 <sup>th</sup> September 2024              |
| Price Band (Rs)               | 163 - 172                                    |
| Offer for sale (Rs cr)        | 88 – 93                                      |
| Fresh Issue (Rs cr)           | 400                                          |
| Issue Size (Rs cr)            | 488 - 493                                    |
| No. of shares                 | 2,99,39,877 – 2,86,55,814                    |
| Face Value (Rs)               | 5                                            |
| Post Issue Market Cap (Rs cr) | 1,683 – 1,754                                |
| BRLMs                         | JM Financial, Kotak Mahindra Capital Company |
| Registrar                     | Link Intime India Pvt. Ltd                   |
| Bid Lot                       | 87 shares and in multiple thereof            |
| QIB shares                    | 50%                                          |
| Retail shares                 | 35%                                          |
| NIB shares                    | 15%                                          |

| Objects of Issue                                                                                                                                                                               |                                                 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|
|                                                                                                                                                                                                | Estimated utilization from net proceeds (Rs cr) |
| Prepayment or scheduled re-payment of a portion of certain outstanding borrowings.                                                                                                             | 163.5                                           |
| Funding of capital expenditure requirements towards purchase of (i) commercial vehicles; (ii) 40 feet specialized containers and 20 feet normal shipping containers; and (iii) reach stackers. | 151.7                                           |
| General Corporate Purposes <sup>^</sup>                                                                                                                                                        | -                                               |
| <b>Total proceeds from fresh issue</b>                                                                                                                                                         | <b>400.0</b>                                    |

<sup>^</sup> To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the gross proceeds.

| Shareholding Pattern      |                    |              |
|---------------------------|--------------------|--------------|
| Pre-Issue                 | No. of Shares      | %            |
| Promoter & Promoter Group | 7,86,99,320        | 100.0        |
| Public & Others           | 80                 | 0.0          |
| <b>Total</b>              | <b>7,86,99,400</b> | <b>100.0</b> |

| Post Issue @Lower Price Band | No. of Shares       | %            |
|------------------------------|---------------------|--------------|
| Promoter & Promoter Group    | 7,32,99,320         | 71.0         |
| Public & Others              | 2,99,39,957         | 29.0         |
| <b>Total</b>                 | <b>10,32,39,277</b> | <b>100.0</b> |

| Post Issue @Upper Price Band | No. of Shares       | %            |
|------------------------------|---------------------|--------------|
| Promoter & Promoter Group    | 7,32,99,320         | 71.9         |
| Public & Others              | 2,86,55,894         | 28.1         |
| <b>Total</b>                 | <b>10,19,55,214</b> | <b>100.0</b> |

Source: RHP, SSL Research

## Key Financials

| Particulars (Rs cr)    | FY22    | FY23    | FY24    |
|------------------------|---------|---------|---------|
| Revenue from operation | 1,470.9 | 1,633.1 | 1,685.8 |
| EBITDA                 | 104.0   | 121.7   | 146.1   |
| PAT                    | 61.1    | 71.6    | 80.3    |
| EBITDA Margin (%)      | 7.1     | 7.4     | 8.7     |
| PAT Margin (%)         | 4.2     | 4.4     | 4.8     |
| ROE (%)                | 23.7    | 24.8    | 22.4    |
| ROCE (%)               | 23.8    | 23.7    | 21.9    |
| PE (x)                 | 22.1    | 18.9    | 16.8    |

Source: RHP, SSL Research

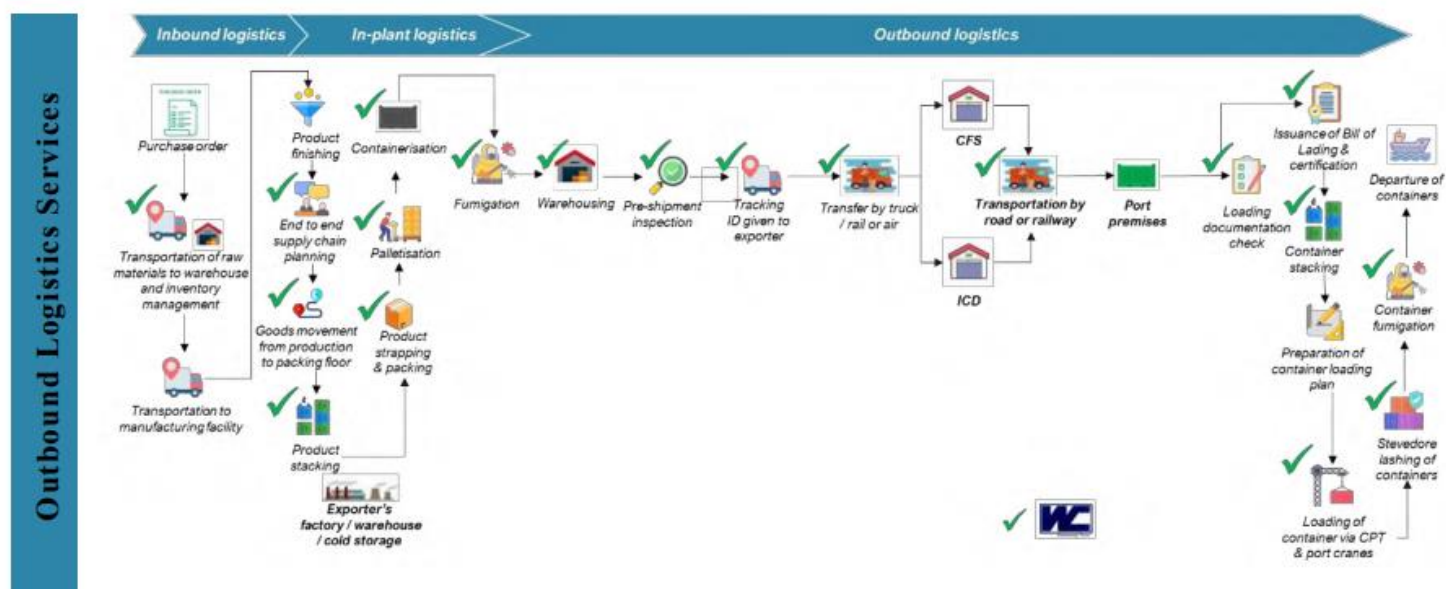
## Risk Factors

- **Customer concentration risk:** The company is heavily dependent on key customers for the majority of its revenue. During FY22/FY23/FY24, the company derived 71.8%/67.2%/72.0% of its revenue from its top 10 customers. The dependence on the Metals and FMCG sectors is particularly higher. Fluctuations in the performance of various industries in which the customers operate may result in the loss of customers or decrease in the volume of work or prices.
- **Working capital risk:** The company is exposed to counterparty credit risk in the usual course of business dealings with customers, vendors/third parties, or other counterparties who may delay or fail to make payments. The business requires a significant amount of working capital to finance logistics operations and any inability to meet the working capital requirements may adversely affect the cash flow cycle. WCIL has high receivable days of 77/87/114 as of FY22/ FY23/FY24 respectively.
- **Third-party risk:** The company is dependent on network partners, third-party service providers, and vendors/suppliers for certain aspects of operations, and unsatisfactory services provided by them or failure to maintain relationships with them could disrupt operations which could materially and adversely affect business, results of operations, cash flows and financial condition.
- **Industry risk:** The company operates in the Indian logistics industry and may be adversely affected by certain factors affecting the growth of the industry. The provision of logistics services generally requires complex operating infrastructure as well as the availability of external infrastructure such as roads, railways, harbors, ports, and airports with efficient services to avoid any disruptions. The company works with and relies on network partners, third-party service providers, and vendors/suppliers to provide necessary assets/facilities for operations. Any interruptions or disruptions in the logistics and transportation infrastructure could result in corresponding delays in the delivery of goods to their destination which could adversely affect the business and financial condition and results of operations of the company.

## Growth Strategies

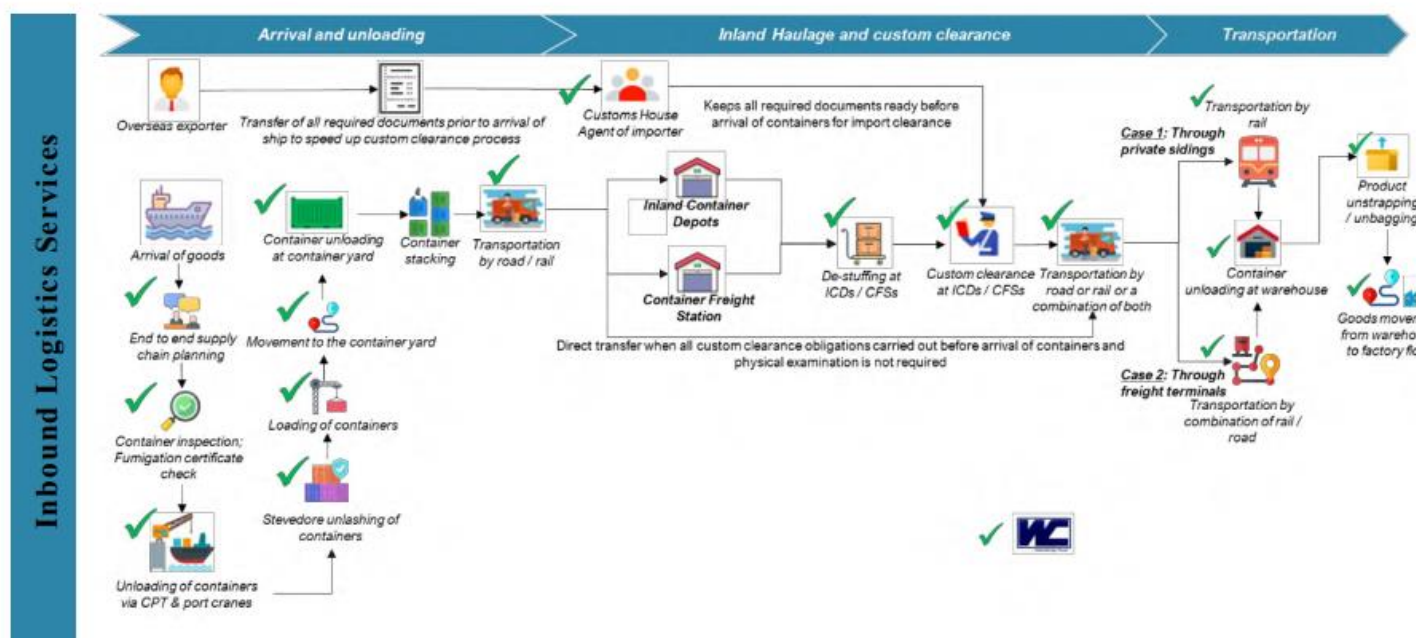
- Strengthen relationships with existing customers.
- Acquire new customers by expanding into newer geographies and sectors.
- Focus on margin improvement.
- Continued investment in infrastructure and technological capabilities.
- Pursue inorganic growth on an opportunistic basis.

## Range of Outbound Services offered



Source: RHP, SSL Research

## Range of Inbound Services offered



Source: RHP, SSL Research

## Throughput Volume

| Throughput Volume | FY22            |              | FY23            |              | FY24            |              |
|-------------------|-----------------|--------------|-----------------|--------------|-----------------|--------------|
|                   | in TEU          | as a %       | in TEU          | as a %       | in TEU          | as a %       |
| EXIM              | 1,49,950        | 69.2         | 1,21,679        | 63.0         | 1,51,637        | 71.4         |
| Domestic          | 66,760          | 30.8         | 71,458          | 37.0         | 60,863          | 28.6         |
| <b>Total</b>      | <b>2,16,710</b> | <b>100.0</b> | <b>1,93,137</b> | <b>100.0</b> | <b>2,12,500</b> | <b>100.0</b> |

Source: RHP, SSL Research

## Revenue Mix – Sector wise

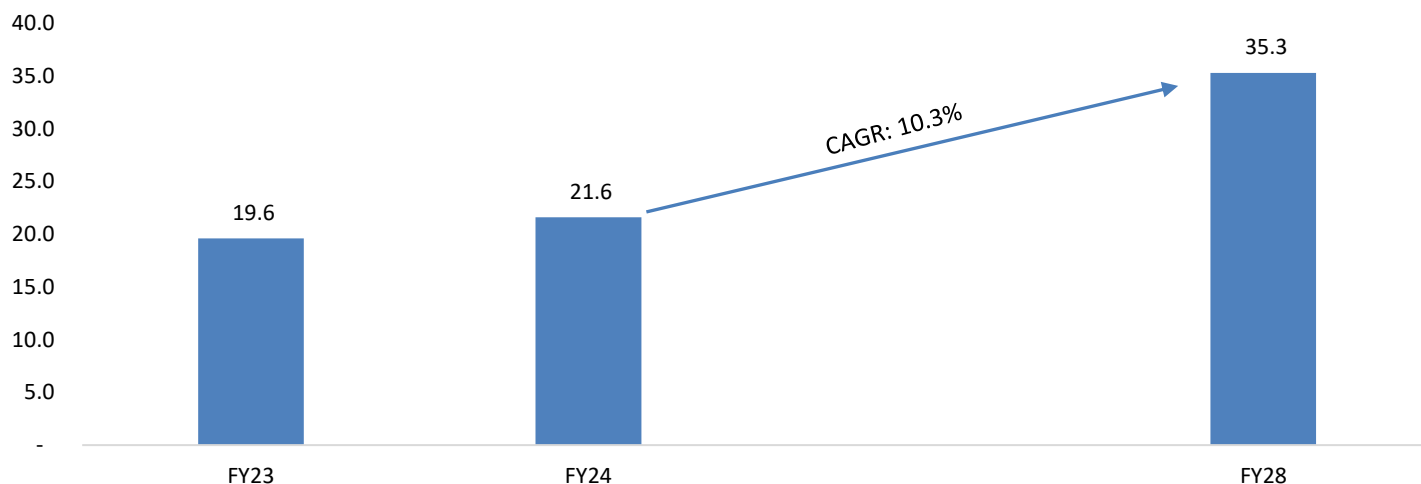
| Sectors                     | FY22           |              | FY23           |              | FY24           |              |
|-----------------------------|----------------|--------------|----------------|--------------|----------------|--------------|
|                             | Rs cr          | % of revenue | Rs cr          | % of revenue | Rs cr          | % of revenue |
| Metals                      | 801.0          | 54.5         | 816.8          | 50.0         | 897.8          | 53.3         |
| FMCG                        | 355.8          | 24.2         | 353.6          | 21.7         | 328.1          | 19.5         |
| Pharmaceuticals & Chemicals | 75.9           | 5.2          | 122.5          | 7.5          | 118.6          | 7.0          |
| Oil & Gas                   | 71.3           | 4.9          | 99.3           | 6.1          | 80.2           | 4.8          |
| Utilities & others          | 166.9          | 11.3         | 240.8          | 14.7         | 261.0          | 15.5         |
| <b>Total</b>                | <b>1,470.9</b> | <b>100.0</b> | <b>1,633.1</b> | <b>100.0</b> | <b>1,685.8</b> | <b>100.0</b> |

Source: RHP, SSL Research

## Industry Overview

The **Indian Logistics Market** grew at a CAGR of 11.0% between FY19-FY24 to reach Rs 21.6 tn by FY24, driven by growing expenditure on transportation, warehousing, and supply chain management. The logistics sector has been recognized as a core enabler for the development of India to reach the Government of India's vision of achieving a USD 5.0 tn economy by CY25. The industry is further projected to grow at a CAGR of 10.3% between FY24-FY28 to reach Rs 35.3 tn in FY28. The growth in the industry will be driven by various factors such as healthy economic growth, strong FDI flows, increase in public infrastructure, boost in external trade etc.

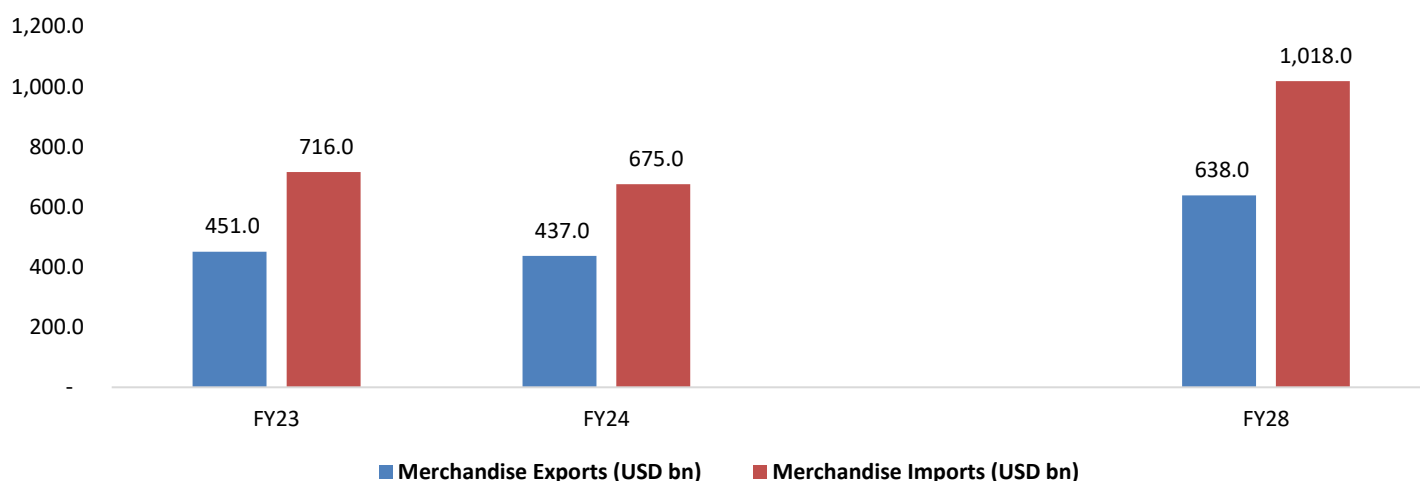
Indian Logistics Market (Rs tn)



Source: RHP, SSL Research

**India's Merchandise Exports** are expected to grow at a CAGR of 9.9% between FY24-FY28 to reach USD 638.0 bn by FY28, while **India's Merchandise Imports** are expected to grow at a CAGR of 10.8% between FY24-28 to reach USD 1,018 bn by FY28. The growth in India's external trade will be driven by factors such as free-trade policies, rise in public spending, favorable taxation policies, growth in private investments, and reforms in the financial sector will increase the FDI flow and thus will facilitate trade-led growth in the GDP.

India's External Trade (USD bn)



Source: RHP, SSL Research

## Financial Snapshot

| INCOME STATEMENT                                                  |       |       |       |
|-------------------------------------------------------------------|-------|-------|-------|
| (Rs cr)                                                           | FY22  | FY23  | FY24  |
| Revenue from Operations                                           | 1,471 | 1,633 | 1,686 |
| YoY growth (%)                                                    | -     | 11.0% | 3.2%  |
| Freight, Handling & Other Charges                                 | 1,280 | 1,421 | 1,437 |
| Gross Profit                                                      | 190   | 212   | 249   |
| Gross margins (%)                                                 | 12.9% | 13.0% | 14.8% |
| Employee Cost                                                     | 37    | 42    | 47    |
| Other Operating Expenses                                          | 49    | 48    | 56    |
| EBITDA                                                            | 104   | 122   | 146   |
| EBITDA margins (%)                                                | 7.1%  | 7.4%  | 8.7%  |
| Other Income                                                      | 5     | 5     | 6     |
| Interest Exp.                                                     | 14    | 15    | 22    |
| Depreciation                                                      | 12    | 15    | 21    |
| Profit from sale of associates including disposal of subsidiaries | 0     | 0     | 0     |
| PBT                                                               | 83    | 96    | 108   |
| Exceptional item/Extraordinary item                               | -     | -     | -     |
| Tax                                                               | 22    | 25    | 28    |
| Adj. PAT                                                          | 61    | 72    | 80    |
| Adj. PAT margin (%)                                               | 4.2%  | 4.4%  | 4.8%  |
| Adj. EPS (Rs)                                                     | 7.8   | 9.1   | 10.2  |

| BALANCE SHEET                               |            |            |            |
|---------------------------------------------|------------|------------|------------|
| (Rs cr)                                     | FY22       | FY23       | FY24       |
| <b>Assets</b>                               |            |            |            |
| Total Net Block                             | 36         | 55         | 71         |
| Capital work-in-progress                    | 9          | 17         | -          |
| Right of use assets                         | 4          | 4          | 3          |
| Goodwill                                    | 31         | 31         | 31         |
| Other Intangible Assets                     | 0          | 0          | 0          |
| Equity Accounted Investments                | 3          | 3          | 3          |
| Other Non-current Assets                    | 35         | 31         | 26         |
| <b>Current Assets</b>                       |            |            |            |
| Trade receivables                           | 311        | 390        | 525        |
| Cash and cash equivalents                   | 3          | 1          | 2          |
| Bank Balances other than Cash & Cash Eq.    | 11         | 18         | 25         |
| Short-term loans and advances               | 16         | 18         | 27         |
| Other financial assets                      | 6          | 5          | 6          |
| Other Current Assets                        | 25         | 31         | 34         |
| <b>Total Current Assets</b>                 | <b>372</b> | <b>463</b> | <b>620</b> |
| <b>Current Liabilities &amp; Provisions</b> |            |            |            |
| Trade payables                              | 65         | 54         | 70         |
| Other current liabilities                   | 12         | 14         | 13         |
| Short-term provisions                       | 0          | 0          | 0          |
| <b>Total Current Liabilities</b>            | <b>78</b>  | <b>68</b>  | <b>83</b>  |
| <b>Net Current Assets</b>                   | <b>294</b> | <b>394</b> | <b>536</b> |
| <b>Total Assets</b>                         | <b>413</b> | <b>536</b> | <b>671</b> |
| <b>Liabilities</b>                          |            |            |            |
| Share Capital                               | 39         | 39         | 39         |
| Reserves and Surplus                        | 218        | 279        | 359        |
| <b>Total Shareholders Funds</b>             | <b>257</b> | <b>318</b> | <b>398</b> |
| Minority Interest                           | 0          | 0          | 0          |
| <b>Total Debt</b>                           | <b>150</b> | <b>210</b> | <b>266</b> |
| Long Term Provisions                        | 2          | 4          | 6          |
| Lease Liabilities                           | 3          | 3          | 1          |
| <b>Total Liabilities</b>                    | <b>413</b> | <b>536</b> | <b>671</b> |

| Cash flow (Rs cr)                   | FY22 | FY23 | FY24 |
|-------------------------------------|------|------|------|
| Cash flow from Operating Activities | 5    | 2    | 1    |
| Cash flow from Investing Activities | (3)  | (36) | (40) |
| Cash flow from Financing Activities | (3)  | 33   | 40   |
| Free Cash Flow                      | (10) | (40) | (35) |

| RATIOS                          |      |      |      |
|---------------------------------|------|------|------|
|                                 | FY22 | FY23 | FY24 |
| <b>Profitability</b>            |      |      |      |
| Return on Assets (%)            | 12.5 | 13.1 | 11.8 |
| Return on Capital Employed (%)  | 23.8 | 23.7 | 21.9 |
| Return on Equity (%)            | 23.7 | 24.8 | 22.4 |
| <b>Margin Analysis</b>          |      |      |      |
| Gross Margin (%)                | 12.9 | 13.0 | 14.8 |
| EBITDA Margin (%)               | 7.1  | 7.4  | 8.7  |
| Net Profit Margin (%)           | 4.2  | 4.4  | 4.8  |
| <b>Short-Term Liquidity</b>     |      |      |      |
| Current Ratio (x)               | 4.8  | 6.8  | 7.5  |
| Quick Ratio (x)                 | 4.8  | 6.8  | 7.5  |
| Avg. Days Sales Outstanding     | 77   | 78   | 99   |
| Avg. Days Inventory Outstanding | -    | -    | -    |
| Avg. Days Payables              | 16   | 13   | 13   |
| Fixed asset turnover (x)        | 40.5 | 29.5 | 23.7 |
| Debt-service coverage (x)       | 0.6  | 0.5  | 0.5  |
| <b>Long-Term Solvency</b>       |      |      |      |
| Total Debt / Equity (x)         | 0.6  | 0.7  | 0.7  |
| Interest Coverage Ratio (x)     | 7.0  | 7.4  | 5.9  |
| <b>Valuation Ratios</b>         |      |      |      |
| EV/EBITDA (x)                   | 14.3 | 12.7 | 10.9 |
| P/E (x)                         | 22.1 | 18.9 | 16.8 |
| P/B (x)                         | 5.3  | 4.2  | 3.4  |
| EV/Sales (x)                    | 1.0  | 0.9  | 0.9  |

Source: RHP, SSL Research

## Peer Comparison

| Particulars (Rs cr) | Western Carriers (India) Ltd | Container Corporation of India Ltd | Mahindra Logistics Ltd | TCI Express Ltd |
|---------------------|------------------------------|------------------------------------|------------------------|-----------------|
| CMP (Rs)            | 172.0                        | 937.0                              | 469.0                  | 1,130.0         |
| Sales               | 1,685.8                      | 8,653.0                            | 5,506.0                | 1,254.0         |
| EBITDA              | 146.1                        | 1,959.0                            | 231.0                  | 187.0           |
| Net Profit          | 80.3                         | 1,262.0                            | (53.0)                 | 132.0           |
| Mkt Cap.            | 1,753.6                      | 57,094.0                           | 3,379.0                | 4,337.0         |
| Enterprise Value    | 1,142.8                      | 54,736.0                           | 4,048.0                | 4,331.0         |
| EBITDA Margin (%)   | 8.7                          | 22.6                               | 4.2                    | 14.9            |
| Net Margin (%)      | 4.8                          | 14.6                               | -                      | 10.5            |
| PE (x)              | 21.8                         | 45.3                               | -                      | 32.9            |
| EV/EBITDA (x)       | 7.8                          | 27.9                               | 17.5                   | 23.2            |
| RoE (%)             | 22.4                         | 13.9                               | -                      | 26.5            |
| RoCE (%)            | 21.9                         | 10.9                               | 3.0                    | 20.2            |
| EV/Sales (x)        | 0.7                          | 6.3                                | 0.7                    | 3.5             |

*The data is based on FY24 financial data.*

*For Western Carriers (India) Limited the Market cap, EV/EBITDA (x), P/E (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.*

*CMP as on 11<sup>th</sup> September, 2024.*

*Source: RHP, SSL Research*



**SBICAP Securities Limited**

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SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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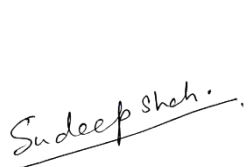
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